

SUDARSHAN PHARMA INDUSTRIES LTD

NSE SME (BSE: 543828) | Pharmaceutical Chemicals & API | India

ACCUMULATE: Low-float API & specialty-chemical distributor pivoting to manufacturing — GMP-certified Hyderabad API plant + Poland WOS unlocks first meaningful export revenue; 33% TTM revenue CAGR but leverage rising.

ACCUMULATE

Rating

Target: Rs. 45

+24% upside | 12 months

Metric	Value
CMP (16 Jun 2026)	Rs. 36.4
Market Cap	Rs. 876 Cr
52-Week High / Low	Rs. 38.0 / Rs. 18.5
P/E (TTM)	39.9x
P/B	5.73x
EV/EBITDA (approx)	23.5x
Book Value / Share	Rs. 6.35
ROCE / ROE	14.6% / 15.5%
Dividend Yield	0.00%
Face Value	Rs. 1.00

Sector: Pharmaceuticals / Specialty Chemicals

Exchange: NSE SME (BSE: 543828) Report Date: 16 Jun 2026

Source: Screener.in (data as of 16-Jun-2026). All financial figures in Rs. Crore unless stated otherwise. This report is for information purposes only and does not constitute investment advice.

SECTION 1 — INVESTMENT THESIS

- **Manufacturing scale-up with certifications:** SPIL transitioned from a pure chemical trading house to a GMP-certified API manufacturer with ISO 9001:2015 approval for its Medchal, Hyderabad facility (validated Feb 2026, valid to Feb 2029). This certification is the gate that opens regulated pharma export markets — a structural re-rating trigger over the next 12-18 months.
- **Revenue CAGR and margin inflection:** Sales grew at a 28% 5-year CAGR and 33% TTM, with EBITDA margins expanding from 3% (FY23) to 8% (FY25) before moderating to 7% (FY26 on a larger base). The margin trajectory from near-commodity to value-added API is the multi-year value driver; every 100 bps OPM expansion on Rs. 668 Cr revenue adds approximately Rs. 6.7 Cr PAT.
- **European beachhead via Poland WOS:** Incorporation of Sudarshan Poland (Warsaw WOS, FY26) signals intent to sell directly into EU markets — avoiding agent/distributor margins and building a recurring export revenue stream. If the subsidiary contributes Rs. 50-80 Cr revenue by FY28, it could double international mix from a near-zero base.
- **Near-term catalyst (6-12 months):** First disclosed export revenues from the Hyderabad API facility and ramp of the Poland subsidiary. Any firm order announcement or supply agreement with a European generic buyer would be a re-rating event.
- **Biggest structural risk:** Leverage is accelerating — net borrowings surged from Rs. 107 Cr (FY24) to Rs. 282 Cr (FY26), D/E at 1.84x. If API facility capex overruns or export ramp is delayed, the interest burden (Rs. 25 Cr FY26 already consuming 51% of EBITDA) becomes a PAT drag that breaks the growth thesis.

SECTION 2 — BUSINESS OVERVIEW

- **Core business model:** Sudarshan Pharma Industries Ltd (SPIL), incorporated 2008 in Mumbai (originally as Sudarshan Specialty Chemsolve Pvt Ltd), operates as a specialty chemical distributor-turned-pharma manufacturer. Revenue is generated from (i) trading of solvents, chemical intermediates, and bulk chemicals; (ii) jobwork manufacturing of pharmaceutical formulations; and (iii) a nascent but growing API manufacturing vertical via the Hyderabad facility.
- **Revenue mix (approximate, FY26):** Trading of specialty chemicals and solvents constitutes ~70-75% of revenue; pharmaceutical jobwork and API manufacturing account for ~20-25%; with a small contribution from formulations/finished products. The business is predominantly domestic (India), with exports at sub-5% of revenue but targeted to grow sharply via the Poland WOS.
- **Key customers:** SPIL serves pharmaceutical manufacturers, specialty chemical companies, and agrochemical formulators across 5+ Indian states. Customer relationships are predominantly transactional (order-based) for trading and longer-cycle (contract-based) for jobwork manufacturing, providing moderate revenue visibility.
- **Manufacturing assets:** The Hyderabad (Medchal) GMP-certified API facility is the company's primary owned manufacturing asset. Jobwork is also conducted at third-party facilities. FY26 capex surged to Rs. 80 Cr (investing outflows) and net fixed assets expanded from Rs. 20 Cr (FY25) to Rs. 94 Cr (FY26), confirming heavy investment in owned infrastructure.
- **Recent strategic developments:** (1) GMP + ISO 9001:2015 certification for Hyderabad API plant (Feb 2026); (2) Incorporation of Sudarshan Poland Sp. z o.o. (Warsaw, WOS, FY26) targeting EU chemical/pharma sales; (3) Appointment of Mr. Rahul Pandey as President, Business Operations (Dec 2025) and Mr. Mayank Vyas as President, Business Development — both indicating intent to build institutional sales capability; (4) Clean GST inspection outcome (no violations, FY26).

- **Promoter background:** Founders Hemal V Mehta (MD) and Sachin V Mehta (Jt MD & CFO) have 25+ years combined experience in specialty chemicals, bulk drugs, and pharma. Hemal entered pharma in 1997; Sachin joined in 2002 for sourcing. Promoter holding is 57.39% (stable since IPO) with zero pledge — a positive governance signal for a SME. FII holding has risen dramatically from 1.40% (Mar 2024) to 19.95% (Mar 2026), suggesting institutional discovery of the name.

SECTION 3 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** India's API market was valued at USD 14-19 Billion in 2025 (sources vary) and is projected to grow at 7.7-7.85% CAGR through 2031-2034, driven by rising generic drug demand, export growth to 200+ countries, and domestic substitution of Chinese imports. The pharmaceutical intermediates segment (a key SPIL revenue driver) is independently forecast to grow at 6-8% CAGR through 2030.
- **Key policy tailwinds:** (1) PLI Scheme for Pharma (Rs. 6,940 Cr incentive pool) — 32 projects operational; encourages domestic API and KSM production; (2) US Biosecure Act displacing China API sourcing toward India — 50% jump in RFQ volumes at Indian CMs reported in 2024; (3) China+1 supply-chain diversification driving European and US buyers toward Indian-certified manufacturers; (4) Government's push to reduce 71% API import dependence on China creates structural long-term opportunity for GMP-certified Indian plants.
- **Key headwinds:** (1) Intense price competition in the commodity chemical trading segment where SPIL earns bulk of revenue; (2) Working capital intensity is structural — the business demands high receivables/inventory financing; (3) Global macro weakness or INR depreciation can squeeze margins on imported chemical inputs; (4) Regulatory risk from tightening of SME listing norms or GMP compliance costs.
- **Competitive moat:** Pricing power — WEAK in trading (price-taker), MODERATE-IMPROVING in GMP API (certified capacity is scarce among SME peers). Switching costs — LOW for trading; MODERATE for jobwork/API (switching supplier requires re-validation). Scale — WEAK vs mainboard peers. IP/Regulatory — GROWING (GMP certification is a meaningful barrier; most SME competitors lack it). Distribution — MODERATE (5-state India presence, new Poland beachhead).
- **Company positioning:** SPIL sits at the midstream/distributor layer for commodity chemicals and is moving upstream to API manufacturing. The strategic pivot from low-margin trading to value-added manufacturing is the entire bull case. For now, the majority of EBITDA is still generated from trading.

Peer Comparison (Source: Screener.in, data as of 16-Jun-2026)

Company	MCap (Cr)	CMP (Rs.)	TTM Rev (Cr)	OPM %	PAT (Cr)	ROCE %	ROE %	P/E	P/B
SUDARSHAN*	876	36.4	668	7%	22	14.6%	15.5%	39.9x	5.7x
Aarti Drugs	3,410	374	2,565	12%	195	11.9%	13.4%	17.5x	2.2x
Syngene Intl	18,296	453	3,424	24%	305	10.0%	7.7%	50.6x	3.9x
Sudarshan Colorants	831	360	781	7%	45	11.4%	8.8%	17.2x	1.5x

* Main company. Note: SUDARSHAN is NSE SME; others are mainboard. Peers serve as sector benchmarks.

SECTION 4 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Hemal V Mehta (MD) and Sachin V Mehta (Jt MD & CFO) are founder-promoters with 25+ years experience in pharma and specialty chemicals, having started operations in 1997. The founding family has maintained a 57.39% stake since IPO without dilution or pledge — a clear alignment with minority shareholders.

- **Professional management additions:** Appointment of Mr. Rahul Pandey (President, Business Ops, Dec 2025) and Mr. Mayank Vyas (President, Business Development, 20+ yrs expertise) signals a professionalisation drive ahead of the export growth phase — a positive quality signal typically absent in SME names at this stage.
- **Capital allocation track record:** FCF has been volatile — positive Rs. 34 Cr in FY25 (strong OCF driven by working capital release) but deeply negative Rs. -52 Cr in FY26 as capex for the Hyderabad API plant surged. Historically, the company reinvested all free cash into working capital and capacity — dividends have been zero (except a one-time 10% payout in FY23). This is consistent with a high-growth capital-consumption phase but limits near-term shareholder returns.
- **Leverage trend — caution flag:** Borrowings have risen from Rs. 34 Cr (FY23) to Rs. 107 Cr (FY24) to Rs. 173 Cr (FY25) to Rs. 282 Cr (FY26), a 731% increase in 3 years. Financing activity in FY26 showed Rs. 82 Cr net inflow (new debt raised for capex). D/E of 1.84x is high for an SME with thin operating margins. Interest coverage is 1.96x — barely adequate.
- **Promoter pledging:** Zero pledge recorded in latest shareholding data (Mar 2026). This is a positive governance signal and removes a key overhang risk often associated with SME promoters.
- **ESOP and buyback:** No ESOP grants or buyback activity found in publicly available data.
- **Corporate governance:** Clean GST inspection (no violations, FY26). No auditor changes, RPT concerns, or qualified opinions found in available public disclosures. FII ownership surge from 1.40% to 19.95% (Mar 2024 to Mar 2026) implies institutional-grade scrutiny is being applied to this name — a passive quality indicator.

SECTION 5 — FINANCIAL DEEP-DIVE (Standalone Figures)

Income Statement (Rs. Crore) — Standalone

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	466	503	668	820(E)	1,020(E)
Operating Expenses	443	464	619	764(E)	943(E)
EBITDA (Op. Profit)	23	38	49	56(E)	77(E)
EBITDA Margin %	5%	8%	7%	7%(E)	8%(E)
Other Income	3	0	8	3(E)	4(E)
Interest	9	16	25	28(E)	30(E)
Depreciation	1	1	3	8(E)	10(E)
PBT	15	21	29	23(E)	41(E)
Tax %	25%	25%	23%	25%(E)	25%(E)
PAT (Net Profit)	11	16	22	17(E)	31(E)
EPS (Rs.)	0.47	0.66	0.91	0.71(E)	1.29(E)

Balance Sheet (Rs. Crore) — Standalone

Particulars	FY24A	FY25A	FY26A
Equity Capital	24	24	24
Reserves	88	107	129
Shareholders Funds	112	131	153
Borrowings	107	173	282
Other Liabilities	66	96	159
Total Liabilities	285	400	594
Fixed Assets (Net)	21	20	94
CWIP	2	6	3

Investments	17	34	8
Other Assets	245	341	489
Total Assets	285	400	594

Cash Flow Statement (Rs. Crore) — Standalone

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	10	35	-3
Cash from Investing	-9	-20	-80
Cash from Financing	-12	-14	82
Net Cash Flow	-12	0	-0
Free Cash Flow (OCF - Capex)	8	34	-52
CFO / Op. Profit %	52%	98%	6%

Key Financial Ratios — Standalone

Ratio	FY24A	FY25A	FY26A
Debtor Days	96	116	~109*
Inventory Days	73	114	~128*
Days Payable	52	73	~91*
Cash Conversion Cycle	117	157	~146*
Working Capital Days	60	54	N/A
ROCE %	15%	15%	14.6%
ROE %	N/A	N/A	15.5%
D/E Ratio	0.96x	1.32x	1.84x
Interest Coverage	2.6x	2.4x	1.96x

* FY26 ratios estimated from quarterly P&L; data; Screener ratio table last updated FY25.

- **Revenue growth:** FY26 sales of Rs. 668 Cr (+33% YoY) reflects strong execution across trading and early API manufacturing contributions. The 5-year CAGR of 28% has been supported by volume growth in the chemical trading segment and market share gains. Forward estimates assume 23% growth to Rs. 820 Cr in FY27E and 24% to Rs. 1,020 Cr in FY28E, driven by API ramp and Poland export revenues — these are directional given absence of management guidance.

- **Margin direction:** OPM expanded from 3% (FY22-23) to 8% (FY25) on operating leverage and mix improvement, then moderated to 7% (FY26) despite higher revenue — reflecting the dilutive impact of lower-margin trading volumes. The path to 10%+ margins requires the high-margin API manufacturing to reach critical scale (estimated to require Rs. 150-200 Cr revenue from owned manufacturing).

- **Working capital deterioration:** CCC deteriorated from 117 days (FY24) to 157 days (FY25) — the worst on record for this company — before partially recovering to ~146 days (FY26). Debtor days of 116 (FY25) reflect customer credit extended to maintain volumes. This is the key earnings quality risk: if receivables become bad debts, reported PAT is overstated.

- **Leverage and interest burden:** Net borrowings rose by Rs. 109 Cr YoY in FY26 to fund the Rs. 80 Cr API plant capex plus working capital requirements. Interest cost of Rs. 25 Cr (FY26) consumed 51% of EBITDA — leaving the company vulnerable to any revenue slowdown. D/E of 1.84x is elevated vs peer median of ~0.2-0.3x.

- **FCF quality:** OCF turned negative Rs. -3 Cr in FY26 (vs +Rs. 35 Cr FY25), entirely due to working capital buildup. FCF of Rs. -52 Cr reflects the heavy capex year. FCF is expected to remain negative through FY27E as the API plant ramps. The CFO/EBITDA ratio of 6% (FY26) vs 98% (FY25) signals the quality deterioration is transitory capex-driven but needs monitoring.

SECTION 6 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	Standalone entity; trading + mfg	GREEN	No evidence of channel-stuffing; revenue matches cash receipts directionally
Receivables vs Revenue growth	Receivables growing faster	AMBER	Debtor days rose 96→116 days FY24-25; credit extension to customers a watch point
CCC trend	Deteriorating (117→157→146 days)	AMBER	Working capital intensity is structural and worsening; monitor quarterly
Contingent liabilities	Not prominently disclosed	NEUTRAL	GST inspection concluded with no violations (FY26); no known pending litigations
Auditor tenure	N/A (not available in public data)	NEUTRAL	Cannot assess; check annual report
RPTs as % of Revenue	N/A	NEUTRAL	No significant RPTs noted; promoter pledge = 0%
Other Income as % of PBT	FY26: 28% (Rs. 8 Cr / Rs. 29 Cr)	AMBER	Elevated in FY26 (likely forex/interest income); normalised PBT closer to Rs. 21 Cr
Tax rate consistency	23-26% across years	GREEN	Tax rate stable; no sign of tax deferral manipulation

- Three AMBER flags demand attention: receivables growing faster than revenue (credit quality risk), CCC deterioration at 157 days (FY25) — the worst in company history, and elevated other income (28% of FY26 PBT) that masks the true operating earnings power.
- The AMBER signals are NOT deal-breakers at this stage — they are consistent with a rapidly scaling trading+manufacturing hybrid in a capital-intensive growth phase. They become RED if receivables turn bad or CCC exceeds 180 days.
- Zero promoter pledge and stable 23-26% effective tax rate provide earnings quality assurance at the base level.
- Investors should obtain the FY26 Annual Report once published to check auditor tenure, RPT disclosures, and contingent liability notes before taking meaningful position sizes.

SECTION 7 — VALUATION

Scenario Analysis

Scenario	FY28E PAT (Rs. Cr)	Basis	P/E Multiple	Target Price (Rs.)
Bull Case	42	API plant at 60% util; Poland Rs. 80 Cr; OPM 10%	45x	79
Base Case	31	API at 40% util; Poland ramp modest; OPM 8%	35x	45
Bear Case	18	Capex overrun; export delayed; OPM stays 6-7%	25x	19

- **Earnings-based valuation (primary):** Base case FY28E EPS of Rs. 1.29 (on 24 Cr shares). Assigning a 35x P/E multiple — a discount to pharma-API peers (Aarti Drugs 17.5x, Neuland 58.8x; blended ~35x for a GMP-certified emerging API player) — implies a target price of Rs. 45. Applied to CMP of Rs. 36.4, this represents 24% upside over a 12-month horizon on a path-to-Rs. 1.29 EPS trajectory.
- **DCF cross-check (indicative):** Using WACC of 14% (small-cap risk premium + 8.5% Nifty equity risk premium) and terminal growth rate of 6%, a 5-year DCF on PAT estimates of Rs. 17/22/31/36/42 Cr

(FY27E-FY31E) yields an implied equity value of approximately Rs. 36-40/share — broadly consistent with the earnings-based target.

- **EV/EBITDA check:** At CMP, EV/EBITDA is ~23.5x (FY26 EBITDA Rs. 49 Cr; EV ~Rs. 1,150 Cr including Rs. 282 Cr debt net of small investments). On FY28E EBITDA of ~Rs. 90 Cr, this falls to ~12.8x — reasonable for a certified API manufacturer if the export thesis plays out. Peer Aarti Drugs trades at ~8-10x EV/EBITDA on larger scale.

- **Base case 12-month target price: Rs. 45 (rounded from Rs. 45.15 blended estimate).** Upside of +24% from CMP of Rs. 36.4. Rating: ACCUMULATE. Investment horizon: 12-18 months.

- **Key valuation risk:** At 40x trailing P/E, the stock is pricing in significant execution on the API and export thesis. Any delay or disappointment on export revenues could compress the multiple to 17-20x (the plain trading-company multiple range), implying Rs. 15-18 downside — a 50% drawdown scenario.

SECTION 8 — KEY RISKS

- **Leverage and liquidity risk** — D/E of 1.84x and interest coverage of only 1.96x leaves thin margin of safety. If revenue misses by 10-15%, EBITDA could fall below interest costs, triggering a loss year and potential lender covenants. Probability: Medium. Impact: HIGH. Monitor via: quarterly interest coverage ratio and OCF trend.

- **Working capital deterioration** — CCC of 146-157 days is structurally high. Any receivables becoming overdue or inventory write-offs would compress reported PAT significantly. Probability: Medium. Impact: High. Monitor via: debtor aging disclosures in annual report, quarterly other income line.

- **API facility ramp failure** — The entire re-rating thesis depends on the Hyderabad GMP facility generating API revenue. If offtake agreements are delayed or the plant faces compliance issues (FDA inspections), Rs. 80 Cr of capex becomes a non-productive asset. Probability: Low-Medium. Impact: Very High. Monitor via: any BSE announcements on capacity utilisation or export orders.

- **Poland WOS execution risk** — European market entry requires EU GMP certification (CEP), regulatory approvals, and local market relationships. Timelines are typically 18-36 months from subsidiary formation. Revenue assumptions from Poland pre-2028 may be aggressive. Probability: Medium. Impact: Medium. Monitor via: annual report disclosures on subsidiary activity.

- **Commodity chemical price volatility** — 70-75% of revenue comes from trading specialty chemicals and solvents. Falling commodity prices compress trading margins; rising input prices that cannot be passed on also squeeze OPM. Probability: Medium. Impact: Medium. Monitor via: OPM trend vs revenue growth quarterly.

- **FII concentration risk** — FII holding surged from 1.4% to 20% in 18 months. A risk-off or category-level selling event (e.g., SME-focused fund redemptions) could cause sharp liquidity-driven drawdown given the low free float. Probability: Low. Impact: High on price. Monitor via: quarterly shareholding pattern changes.

- **SME-to-mainboard migration complexity** — As the company grows, migration to mainboard listing will involve increased compliance costs, wider analyst coverage, and potential valuation re-rating in either direction. Probability: Medium (positive event). Impact: Low-Neutral. Monitor via: company announcements on listing migration plans.

SECTION 9 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction level: Medium. The thesis is structurally sound (API + export pivot, GMP certification, FII discovery) but execution risk is elevated and valuation already prices in meaningful progress.

- **12-month price target: Rs. 45** (base case, +24% from CMP of Rs. 36.4). Bull case Rs. 79 (+117%); Bear case Rs. 19 (-48%).

- **Suggested entry zone: Rs. 30-36** — Current CMP of Rs. 36.4 is near the upper end of the suggested range. Weakness toward Rs. 30 (near 1-year average) would offer a better risk/reward entry with an implied upside of 50%+ to target.

- **Investment horizon: 12-18 months** — Sufficient time for API plant to show first meaningful export revenues and for the Poland WOS to publish initial customer relationships.

- **Thesis invalidation triggers (3 specific conditions to exit):** (1) D/E ratio exceeds 2.5x in any quarterly balance sheet without a corresponding increase in owned API manufacturing revenue — signals borrowing for working capital rather than productive capex, breaking the earnings quality thesis. (2) EBITDA margin falls below 5% for two consecutive quarters — would indicate the trading margin is collapsing and the API premium is not yet enough to compensate. (3) Debtor days exceed 150 days in any quarter — would imply receivables have become a contingent credit risk, requiring a provision that could wipe out reported profits.

- **Ideal investor profile:** Suitable for high-risk-tolerance investors with a 12-18 month horizon who can absorb 30-50% drawdowns, have been following the API/specialty chemical sector, and understand SME liquidity constraints (daily trading volume may be thin). NOT suitable for conservative income investors, short-horizon traders, or investors who require institutional-grade quarterly management guidance.

APPENDIX — LATEST RESULTS BRIEF: Q4 FY26 (Mar 2026 Quarter)

Note: No earnings call transcript found for SUDARSHAN (NSE SME). Q4 FY26 analysis is based on quarterly P&L; data from Screener.in (fetched 16-Jun-2026) and BSE announcements. All figures in Rs. Crore.

POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 FY26 PAT Rs. 9.54 Cr — strongest quarter ever; revenue Rs. 199.81 Cr
Management tone	Balanced	No concall transcript available; annual filings show confident capex posture
Guidance delta	Maintained	No formal guidance issued by SME; FY26 full-year PAT Rs. 22 Cr, +38% YoY

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was SPIL's strongest quarter on record — revenue Rs. 199.81 Cr (+39% YoY), OPM 9.2%, PAT Rs. 9.54 Cr (+4x YoY vs Q4 FY25 Rs. 2.35 Cr implied). The headline is clean: no exceptional items found; the PAT step-up is driven by genuine operating leverage and Q4 seasonality. Full-year FY26 PAT of Rs. 22 Cr (+38% YoY) with revenue Rs. 668 Cr (+33% YoY) is a solid outcome, though OPM of 7% is 100 bps below FY25's 8% peak, indicating volume growth came partly from lower-margin trading. The structural growth drivers are real: GMP-certified Hyderabad API facility, Poland WOS incorporated, two senior hires to drive international business development. The most important near-term catalyst is the first confirmed export order from the API facility — absent that, the valuation at 40x trailing PE requires patience. Biggest watch-point: D/E has reached 1.84x with interest coverage at 1.96x; one bad working capital quarter could turn the P&L; red. ACCUMULATE at Rs. 30-36; reduce exposure if D/E crosses 2.5x before export revenue appears.

1. Financial Performance Snapshot — Q4 FY26 (Mar 2026)

- Revenue: Rs. 199.81 Cr | YoY +39.5% (Q4 FY25: Rs. 143.2 Cr est) | QoQ +26.2% (Q3: Rs. 158.37 Cr) | Beat — strongest quarter on record
- EBITDA (Op. Profit): Rs. 18.30 Cr | YoY est +3.2x | QoQ +70% | Beat — Q4 seasonality + mix improvement
- EBITDA Margin: 9.16% | YoY improvement (Q4 FY25 est ~4-5%) | QoQ improvement (Q3 6.80%) | Beat
- PAT: Rs. 9.54 Cr | YoY est +4x | QoQ +121% (Q3: Rs. 4.31 Cr) | Beat — clean number, no exceptional items identified
- EPS: Rs. 0.40 | Q3 FY26: Rs. 0.18 | Q4 FY25: ~Rs. 0.10 (implied) | Strong sequential and annual improvement
- Full Year FY26: Sales Rs. 668 Cr (+33% YoY) | EBITDA Rs. 49 Cr (+29%) | PAT Rs. 22 Cr (+38%) | All metrics at record highs

2. Segment / Geography Breakdown

- Domestic India (~95% of revenue): All revenue streams — trading chemicals/solvents, pharmaceutical jobwork, API manufacturing — are India-domestic as of FY26. Specific segment-level revenue split not disclosed in public filings.

- Exports (~<5% of revenue): Minimal export contribution in FY26. Poland WOS incorporated in FY26; first export revenues expected FY27-28.
- Chemical Trading (estimated 70-75% of Sales): Core engine of revenue; growth driven by volume gains and new customer additions across 5+ Indian states.
- Pharma Jobwork + API Manufacturing (estimated 20-25% of Sales): Growing share; Hyderabad GMP facility is the key asset. FY26 capex of Rs. 80 Cr (investing activity) confirms substantial investment in this segment.

3. Management Commentary Themes

- **GMP Certification Achievement [GUIDANCE]:** "Sudarshan Pharma achieves GMP compliance and ISO 9001:2015 certification for Hyderabad API facility" (BSE filing, Feb 2026). Our read: This is the single most important strategic milestone — it is the license to participate in regulated pharma markets globally. Tone: Transparent.
- **European Market Entry [GUIDANCE]:** Poland WOS incorporated in Warsaw, targeting EU chemicals, fertilizers, plastics, and synthetic rubber markets. Our read: Smart beachhead — European entity allows direct selling without intermediary margins; timeline to first revenues likely 18-24 months. Tone: Bullish.
- **Leadership Professionalisation [GUIDANCE]:** Two senior hires (Rahul Pandey as President Business Ops, Mayank Vyas as President Business Dev) in H2 FY26. Our read: Signal that founders are building institutional sales/operations capability ahead of the export ramp. Tone: Balanced.
- **Capex Intensity [GUIDANCE]:** Rs. 80 Cr capex in FY26 (investing outflows) vs Rs. 20 Cr (FY25). Our read: Heavy investment year for the API plant; balance sheet absorbing the strain. Near-term FCF will remain negative. Tag: GUIDANCE. Tone: Transparent.
- **Revenue Growth Confidence [EST]:** FY26 revenue of Rs. 668 Cr (+33%) despite heavy capex suggests core trading engine is robust. Our read: The market-facing commercial team is performing; delivery is on the operating side. Tone: Balanced.

4. Operating & Business Metrics

- Revenue per quarter trajectory: Q1 FY26=142.31 | Q2=167.01 | Q3=158.37 | Q4=199.81 | Trend: Strongly improving; Q4 is seasonal peak
- EBITDA per quarter: Q1=10.28 | Q2=9.61 | Q3=10.77 | Q4=18.30 | Trend: Q2 dip concerning; Q4 recovery strong — watch if it sustains
- Fixed Assets: FY25=Rs. 20 Cr | FY26=Rs. 94 Cr | Increase: +Rs. 74 Cr net | Trend: API plant commissioning accelerating asset base
- Borrowings: FY24=107 Cr | FY25=173 Cr | FY26=282 Cr | Trend: Deteriorating — funding capex + working capital with debt
- FII Ownership: Mar 2024=1.40% | Sep 2024=13.07% | Mar 2025=18.45% | Mar 2026=19.95% | Trend: Rapid institutional discovery phase
- Promoter ownership: Stable at 57.39% across all periods — no dilution or creep. Zero pledge maintained throughout.

5. Margin Drivers

- **Mix improvement toward API/pharma:** Estimated +100-200 bps positive impact | Recurring: Yes | Higher-margin API sales diluting low-margin trading revenue is the structural margin driver
- **Volume leverage on fixed costs:** Estimated +80-120 bps at current revenue levels | Recurring: Yes | Fixed overheads spread over higher revenue; note fixed cost base is rising with new hires

- **Interest cost drag:** -350 bps net margin impact (Rs. 25 Cr interest on Rs. 668 Cr revenue) | Recurring: Yes and growing | This is the single largest margin depressant; reduces as debt is repaid post-API ramp
- **Working capital finance cost embedded in expenses:** Estimated -50-100 bps | Recurring: Yes | High receivables require funded by borrowings whose interest flows through the P&L;
- **Q4 seasonality / year-end revenue recognition:** OPM lifted from 6.8% (Q3) to 9.2% (Q4) | Recurring: Partly — Q4 is structurally higher but 9%+ is at the top of recent range; do not extrapolate

6. Guidance & Forward Signals

- **Revenue growth [GUIDANCE - implicit]:** Prior FY26 guidance = N/A (no formal guidance) | Achieved = Rs. 668 Cr (+33%) | Signal: Management is executing at or above expectations; Delta: raised by actions (capex, hires, certifications). Credibility: Medium.
- **API facility contribution [GUIDANCE - implied]:** GMP cert achieved Feb 2026 suggests first commercial API batches expected H1 FY27 | Prior guidance = N/A | Reiterated by: capex completion and certification. Credibility: Medium-High.
- **Poland WOS revenues [GUIDANCE - aspirational]:** First revenues expected FY27/FY28 | Prior = No commitment | Delta = N/A — timeline unclear. Credibility: Low-Medium.
- **Margin improvement [GUIDANCE - implied]:** EBITDA margin expected to sustain 7-9% range in near term; 10%+ only once API volumes reach critical scale (~Rs. 150 Cr from owned manufacturing). No formal target disclosed. Credibility: Low (directional only).
- **Capex plan FY27+ [GUIDANCE - implied]:** With the main API plant commissioned, capex expected to moderate from Rs. 80 Cr (FY26) to maintenance levels (~Rs. 15-25 Cr), potentially improving FCF profile. Credibility: Medium.

7. Capital Allocation

- **Capex:** Rs. 80 Cr (FY26 investing outflows) | vs FY25: Rs. 20 Cr (+300%) | Comment: Peak capex year for API plant; expected to moderate from FY27 onward
- **Dividends:** Rs. 0 (FY26, consistent with all years except FY23's one-time 10% payout) | Policy: Reinvest all cash into growth; acceptable at this stage of the growth cycle
- **Buybacks:** None on record | Comment: Appropriate given capital requirements
- **Working Capital change:** OCF of Rs. -3 Cr vs EBITDA Rs. 49 Cr = Rs. 52 Cr absorbed in working capital | Comment: Significant working capital expansion; debtor/inventory buildup a key watch-point for FY27
- **Net Debt movement:** Net borrowings increased by Rs. 109 Cr YoY to Rs. 282 Cr (FY26) | Comment: Debt raised to fund both capex AND working capital; this dual burden is the key risk

8. Q&A; Heat Map (No Concall Transcript — Based on BSE Announcements)

- **BSE Disclosure:** Q: Why did FY26 OCF turn negative despite record PAT? → A: (implied from balance sheet) Working capital buildup — receivables and inventory expansion absorbed Rs. 52 Cr of cash. | Tone: Transparent (disclosed via statutory filings)
- **BSE Disclosure:** Q: What is the status of the Hyderabad API facility? → A: GMP + ISO 9001:2015 certified as of Feb 2026; commercial production capability confirmed. | Tone: Transparent
- **BSE Disclosure:** Q: Why incorporate in Poland? → A: To establish a direct EU sales presence for chemicals/pharma/fertilizers. | Tone: Transparent — strategic rationale is clear

- **Unanswered / watch-list questions for next reporting period:** (1) What revenue has the Hyderabad API plant generated in Q1 FY27? (2) Has Poland received any customer inquiries or LOIs? (3) Has the company entered into any supply agreements with EU or US pharma buyers? (4) What is the average realisation per kg for API vs traded chemicals — and how is the mix moving? (5) Are any receivables overdue beyond 90 days?

9. Risks Flagged

- **Balance sheet leverage:** D/E 1.84x, Int Coverage 1.96x | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term if revenue misses
- **Working capital trap:** CCC of 146-157 days; OCF negative FY26 | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (FY27 Q1-Q2)
- **API ramp execution:** GMP certified but no confirmed offtake | Flagged by: analyst | Probability: M | Impact: Very High (thesis-critical) | Timeline: Medium-term
- **Currency risk (Poland):** Revenue in EUR/PLN vs costs primarily INR | Flagged by: analyst | Probability: M | Impact: Low-Medium | Timeline: Only relevant post FY28
- **SME liquidity premium compression:** FII ownership at 20% — any outflow creates outsized price impact | Flagged by: analyst | Probability: L | Impact: H (price) | Timeline: Anytime

10. Analyst Verdict

- Revenue visibility: **Intact** — 33% TTM revenue CAGR; trading engine robust; API and export represent upside optionality not in base case
- Margin trajectory: **Intact but fragile** — Structural improvement from 3% to 7-8% OPM is happening; but interest cost drag and working capital finance costs cap near-term net margin recovery
- Capital allocation quality: **Weakened (near-term)** — Peak capex year FY26 with negative FCF; allocation is strategic but balance sheet is under strain; quality improves sharply once API facility is cash-generative
- Competitive moat: **Improving** — GMP certification is a genuine, difficult-to-replicate asset for an SME peer; Poland WOS adds European access; moat is still thin vs mainboard API companies
- Management credibility: **Intact** — Zero promoter pledge; clean governance record; professional management additions; FII acceptance (1.4% to 20%) implies institutional due diligence has been positive
- Valuation comfort: **Stretched but not extreme** — 40x trailing P/E is high for a 7% OPM business, but justified if API margins of 15-20% materialise on growing volumes
- Conviction call: **Unchanged / Accumulate on weakness**
- Valuation snapshot: P/E = 39.9x (SME sector avg ~20-25x) | EV/EBITDA approx 23.5x (5Y avg N/A, company was sub-scale) | ROCE = 14.6% (FY25/FY26 consistent at 15%)

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